



Reduce College Costs and Help Protect Your Retirement Assets



ADULT FINANCIAL
EDUCATION SERVICES

Balancing College Funding and Retirement

For many families, paying for college can be both one of their biggest financial goals and one of their biggest financial stressors. Since 2000, college costs have risen roughly 41% faster than the rate of inflation, outpacing standard wage growth and creating a significant financial burden for parents and students.¹

In addition, college costs are often seen as a hindrance to one's long-term financial goals or retirement savings. Many families think they may need to sacrifice their retirement goals to pay for college, but in reality, several strategies can be used to successfully fund your family's education goals while keeping your long-term financial goals intact.

Workshop Objectives

To understand...

- ✓ The misconceptions vs. truths of college costs
- ✓ Institutional aid and how to use it to your advantage
- ✓ How college planning fits into your overall retirement plan
- ✓ How the college system works from both an admission and financial perspective

Sticker Price Illusion and The Cost of Education

Tuition vs. Inflation

Since 2000, college costs have risen roughly _____ faster than the rate of inflation.¹

The List Price vs. The Net Price

Understand the widening gap between the sticker price and what families actually pay.

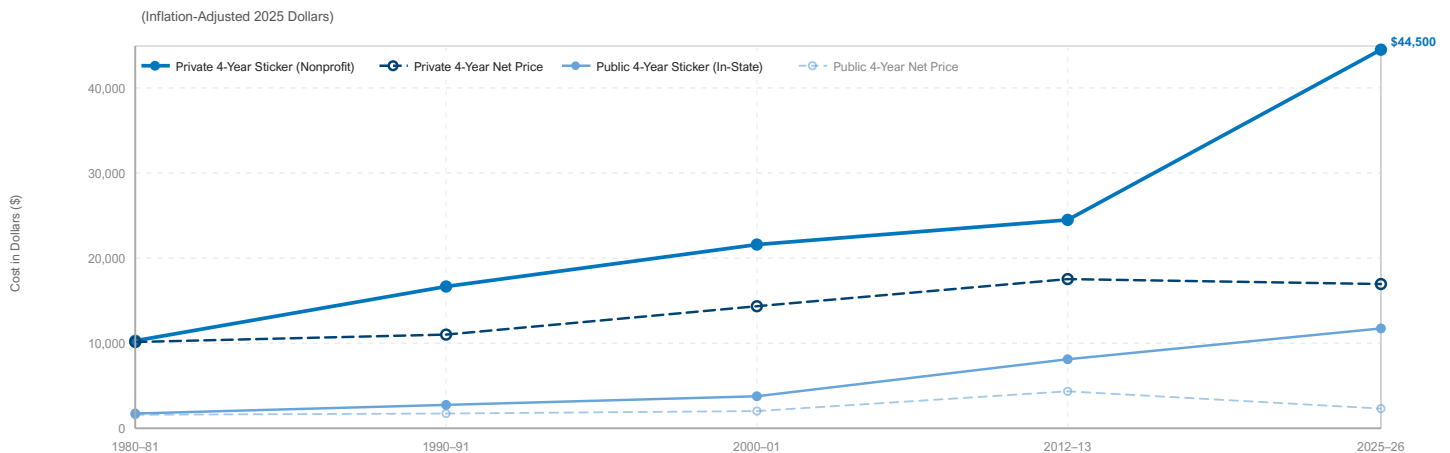
Private College Discount Rate

Institutional aid is at an all-time high. Average discount rates at private colleges now exceed _____%.²

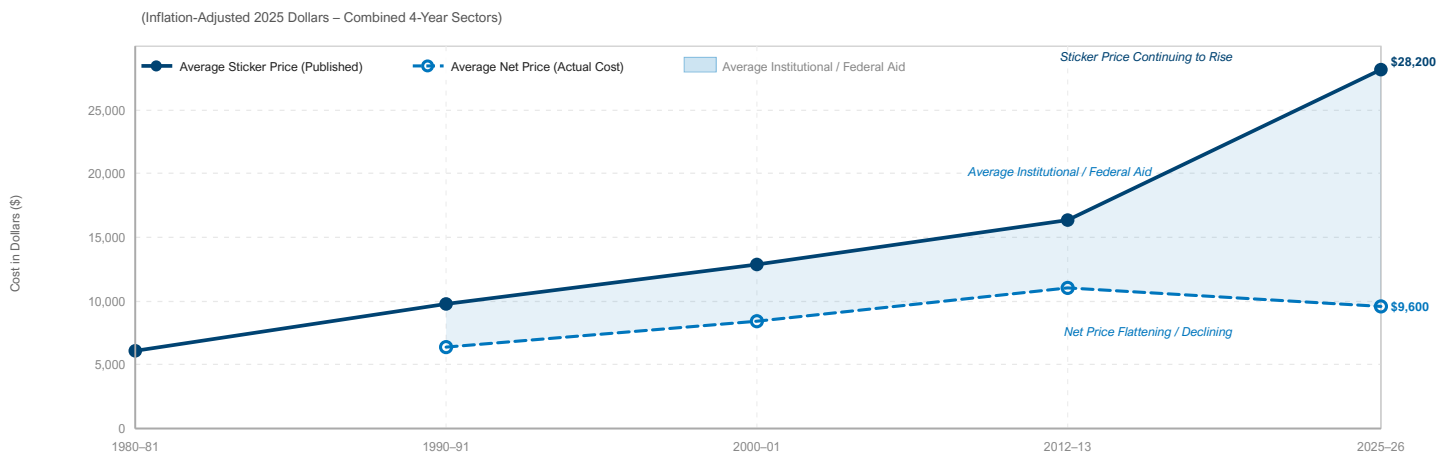
Key Takeaway: Student debt may be a result of misunderstanding the aid process and how to navigate it comprehensively and proactively.

The Data Tells the Story

Public vs Private Trends^{1, 3, 4}



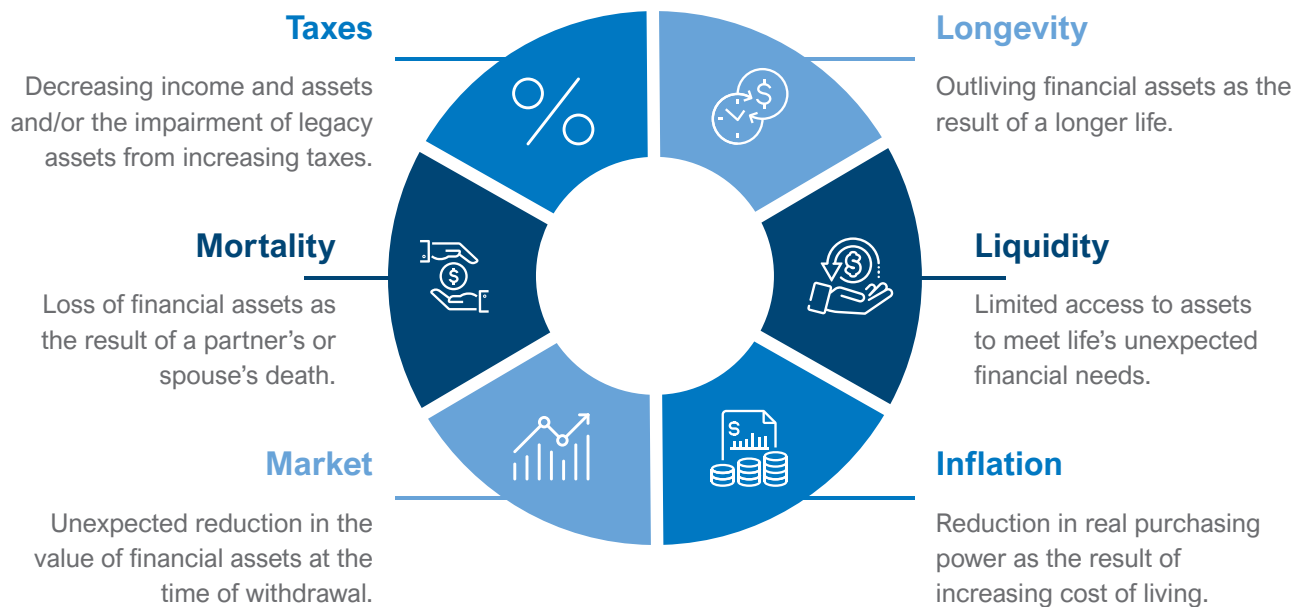
Average Trends^{1, 3, 4}



The Aid System and Admissions

- Total student aid has expanded to over \$_____ billion annually.³
- Colleges are now the largest providers of grant aid, surpassing federal and state governments.
- Schools use aid and enrollment strategies to discount tuition for students they want.
- The process went from a simple one-page form to highly detailed forms with hundreds of questions.

Six Financial Planning Considerations



1. **Longevity:** Outliving financial assets as the result of a longer life
2. **Liquidity:** Limited access to assets to meet life's unexpected financial needs
3. **Inflation:** Reduction in real purchasing power as the result of increasing cost of living
4. **Market:** Unexpected reduction in the value of financial assets at the time of withdrawal
5. **Mortality:** Loss of financial assets as the result of a partner's or spouse's death
6. **Taxes:** Decreased income and assets and/or the impairment of legacy assets from increasing taxes

Ways These Considerations Could Matter for College Planning



Longevity

Certain financial vehicles designed to address longevity can affect financial aid calculations, depending on the filing method.



Liquidity

Assets can be positioned to increase aid eligibility and remain accessible for family cash flow.



Inflation

College costs rise faster than general inflation.



Market

Investment timing impacts FAFSA reporting periods.



Mortality

Life insurance and estate planning for your family can tie into your college financial plan.



Taxes

Tax strategies affect aid eligibility and net cost.

Pillar 1: Getting In

How School College Admissions Work

Strategic Enrollment Management (SEM)

- Relied upon by highly selective colleges.
- A data-driven methodology that colleges develop to manage budget and class profile.
- They use such a methodology to protect their financial assets and secure good-fit enrollment.

How the College Sees the Student

Academic Alignment	Community Impact	Financial Realities
The Student _____	The Student _____	The Student _____
Targeting an academic match	Driving campus vibrancy	SEM to direct tuition
Prioritizing student success and retention	beyond the classroom	discounting
Aligning learning styles with teaching methods	Protecting and growing the institution’s brand	Class shaping and revenue balancing
	Protecting retention and helping increase alumni ROI	Seeks to increase tuition ROI via aid formulas

Academic Alignment: The Student Learner

- **Colleges Target an Academic Match:** Colleges admit students who fit their academic and social structure.
- **Why the School Cares:**
 - » **Compatibility:** A student whose passions and way of learning are compatible with the school's way of teaching are likely to stay and excel.
 - » **Student success and retention:** A school's reputation depends on its students graduating and excelling.

Community Impact: The Student Contributor

- **Colleges Want Campus Vibrancy:** Colleges look for engines of activity—club starters/leaders, volunteers, joiners, etc.
- **Why the School Cares:**
 - » **Student Success and Retention:** Students who feel important to a club or program are statistically more likely to stay all four years.
 - » **Alumni ROI:** Active students are more likely to stay invested after graduation and help strengthen the school's network.
 - » **Institutional Growth:** For new initiatives, the school's financial and strategic success is tied to student participation.
 - » **Brand Stewardship:** Schools must maintain a constant pipeline of successors to keep their reputation alive.

Financial Realities: The Student Customer

- **A School's SEM Often Uses Aid to Secure Enrollment:** They use discounted tuition as a financial lever to secure the desired class profile they want.
- **Why the School Cares:**
 - » **An Administration's Dual Mandate:** The school is tasked to bring in tuition revenue while securing a class profile in line with the college's mission.
 - » **Balance:** With students at various price points, the school can fill the class they want while meeting tuition revenue goals.

Insight: Schools have their own aid formulas tailored to each applicant to determine how much of a discount they can give to secure a class profile.

Mastering the Admissions Portfolio

- Move Beyond Activity Lists
- Fill the Class Gap
- Tailor School Choice to Learning Style

Insight: A good-fit application can mean a lower _____.

The Strategic Value of Application Timing

- Maximizing Acceptance Rates via Early Deadlines (ED/EA)
- Securing the First-Come, First-Served Aid Pool
- Demonstrating Interest to Strengthen Financial Offers

Chance	Application Type
High	Early Decision (ED)
Medium	Early Action (EA)
Low	Regular Decision (RD)

Pillar 2: Cost and Financial Aid

Funding College Without Aid

Every Family Has Two Buckets to Fund College

Bucket 1: Assets

- ✓ Savings
- ✓ 529 Plans
- ✓ Investments
- ✓ Life Insurance

Bucket 2: Borrowing

- ✓ Federal loans
- ✓ PLUS loans
- ✓ Private loans
- ✓ Home Equity
- ✓ _____

Misconceptions and Truths About Aid Eligibility

Misconceptions

“Our income is too high for aid.”
“My child's grades are too low.”
“We own a home — we won't qualify.”
“Aid is only for special groups.”
“The process is easy — I can do it myself.”

Truths

High earners can still receive massive tuition discounts through merit aid at the right schools.
Merit aid is separate from GPA. School fit and strategy matter most.
Primary home equity is _____ counted on FAFSA. This is one of the biggest missed opportunities.
Most families, _____, qualify for some form of aid or discount.
Mistakes are costly and often irreversible, so expert guidance now can make a major difference.

Three Aid Banks

Where College Aid Actually Comes From

- 1. **Gift Aid:** School grants, government Pell Grants, other need-based financial aid that isn't required to be repaid.
- 2. **Merit Aid:** Academic, athletic, artistic scholarships, based on student achievements—school-specific or not.
- 3. **Loans:** Federal loans or school-specific loans may be offered as part of aid packages.

FAFSA Basics and Key Insights

(FAFSA)

Basics:

- The standard federal form required by all colleges for federal aid (Pell Grants, work-study, and federal loans).
- Income: Uses tax returns from two years prior.
- Assets: Evaluates assets as of the day the form was filed.

Key Insights:

- FAFSA should be filed even if you think you don't qualify for aid.
- Many filers do qualify for some form of aid, even partial filers.
- Grants are distributed on a first-come, first-served basis. Tip: Try to file early.
- Home equity is not included in FAFSA calculations.
- Life Insurance is not included in FAFSA calculations.

FAFSA - Exempt and Reported Financial Factors

FAFSA – Reported Factors

- ✓ _____: Total balance of checking and savings accounts.
- ✓ _____: Net worth of stocks, bonds, mutual funds, and trust funds in brokerage accounts, for example.
- ✓ _____: Equity in rental properties, second homes, and summer homes.
- ✓ _____: Only the 529 plans specifically naming the student applicant as beneficiary.
- ✓ _____: Total amount of child support received during the last complete calendar year.
- ✓ _____: UGMA/UTMA accounts and other assets held in the student's name.

FAFSA – Exempt Factors

- ✓ _____: Equity in the home where the family resides.
- ✓ _____: Balances in 401(k), IRA, Roth IRA, and pension plans.
- ✓ _____: Family-owned/controlled businesses with 100 or fewer full-time employees.
- ✓ _____: Parent-owned 529 accounts designated for the student's siblings.
- ✓ _____: Cars, clothing, and household furniture.
- ✓ _____: Term, Whole, Indexed Universal, and other life insurance policies.

FAFSA Generates the Student Aid Index (SAI)

FAFSA Completed Online » SAI Generated from FAFSA

Federal Need = _____ (COA) minus _____ (SAI)

The Private School Difference

- Private colleges require the comprehensive College Scholarship Services (CSS) Profile for institutional aid.
- Completing this form significantly increases the amount of aid you can receive.
- This form allows the college to create a detailed evaluation of the entire student and family profile, often including academics and finances.

Key Takeaway: Don't limit your options inadvertently. If a good-fit school seems too expensive to apply to, don't forget you may receive a generous aid package if accepted.

CSS Key Factors

- **Required By Elite Institutions for Aid:** Used by over 250 of the most prestigious colleges and universities in the U.S.
- **Deep Financial Audit:** Features over 275 detailed questions, making it far more comprehensive than the FAFSA.
- **Asset Evaluation:** Evaluates categories excluded by federal forms, including home equity, business assets, and retirement accounts.
- **Institution-Specific Timelines:** Deadlines vary by school, requiring careful individual monitoring.

CSS - Exempt and Reported Financial Factors

CSS – Reported Factors

- ✓ _____: Current market value minus all mortgages and home equity lines of credit.
- ✓ _____: Includes accounts for the student applicant AND all siblings.
- ✓ _____: Plans naming the student as beneficiary but owned by grandparents or others.
- ✓ _____: Net worth of all business interests, regardless of employee count (no small business exemption).
- ✓ _____: The total value of all trust funds, including those for the student and parents.
- ✓ _____: Purchase price, year, and market value of all secondary properties.

CSS – Exempt Factors

- ✓ _____: Generally asked for on the form but excluded from the main investment calculation.
- ✓ _____: Items like family cars, appliances, and clothing are typically not reported.
- ✓ _____: Not required unless a specific school asks for it in a supplemental question.
- ✓ _____: Debts not related to reported assets (like credit card debt) do not reduce your asset value.

How Schools Use the CSS

Need Calculations Are Unique to Each School and Applicant

Remember, as part of this calculation, they'll consider SEM, which can inform the following:

- How greatly they'd like the applicant to attend at that time in the admissions process.
- What their budget is for aid at that point in the admissions process.
- Whether they'll provide gift, merit, or loan aid, or a combination of both.
- How they manage competing offers you negotiate with to meet a greater percentage of your need.

Note: Your understanding of your need, the government's understanding of need, and the school's understanding of your need may all be _____. Regardless, you still want to pay the least.

Form Submission Timelines

Milestone	FAFSA (Federal & State Aid)	CSS Profile (Institutional Aid)
Forms Open	October 1st	October 1st
Early Decision (ED I)	Nov 1st – Nov 15th	Nov 1st – Nov 15th (Strict)
Early Action (EA)	Nov 1st – Dec 1st	Nov 1st – Dec 1st (Strict)
Early Decision (ED II)	Jan 1st – Jan 15th	Jan 1st – Jan 15th (Strict)
Regular Decision (RD)	Feb 1st – Feb 15th (Priority)	Feb 1st – Feb 15th (Strict)
State Grant Deadline	March 1st (Common date)	N/A (Rarely used for state aid)
Final Federal Deadline	June 30th (End of school year)	N/A (Determined by school)

Financial Aid Best Practices

- **File No Matter Your Income:** Even _____ should file.
- **Exclude your primary residence equity on the FAFSA:** It's not required and reporting it can spike your SAI.
- **Use the AGI Baseline:** Always report your _____ (AGI) rather than your gross income to ensure the formula uses your true taxable floor.
- **Audit Assets:** Reporting a parent-owned 529 as a student asset can hinder aid eligibility.
- **Seek Specialized Aid Guidance:** Partner with a college funding specialist.

Pillar 3: Funding the Cost

Reducing Costs vs Funding College

- **Cost Reduction vs. Long-Term Funding:** Aid reduces the bill, but a strategy to pay the remaining balance is equally vital.
- **Navigating Strategic Trade-offs:** Specific vehicles, like 529 plans, life insurance, and custodial accounts, can impact your SAI.
- **Optimizing Eligibility:** Understand other strategic tools to fund education while maximizing financial aid.

Remembering How to Fill the Gap

Bucket 1: Assets

- ✓ Savings
- ✓ 529 Plans
- ✓ Investments
- ✓ Life Insurance

Bucket 2: Borrowing

- ✓ Federal loans
- ✓ PLUS loans
- ✓ Private loans
- ✓ Home Equity
- ✓ Life Insurance

Insight: Strategic use of _____ can help position assets to both save for college and qualify for aid.

Private vs Public: Pros

Private Colleges and Universities

- High percentage of need met for admitted students.
- Depending on the school, aid can be more accessible and flexible than federal aid, including negotiation opportunities.

Public Colleges and Universities

- Low sticker price, especially if in-state.
- Only requires FAFSA. FAFSA requires less financial reporting to receive aid.

Private vs Public: Cons

Private Colleges and Universities

- Requires the more extensive CSS form to calculate need and award additional aid.
- May have more competitive admissions.

Public Colleges and Universities

- Often has lower endowments, meaning a potentially lower percentage of need granted.

Reminder: Each school evaluates and responds to applicants'_____ differently.

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Case Studies

Case Study 1: Private vs. State School — The Math

Most state schools have rigid budgets and limited merit pools—they rarely bid for students by offering large discounts based on evaluated fit or class profile.

- **Private School**
 - » Sticker Price (COA): \$92,000 / year
 - » Gift Aid Received: \$68,000 (74% gift)
 - » Your Out-of-Pocket: \$24,000 / year
 - » Over 4 Years = \$_____ total
- **State School**
 - » Sticker Price (COA): \$36,000 / year
 - » Gift Aid Received: \$6,000 (16% gift)
 - » Your Out-of-Pocket: \$30,000 / year
 - » Over 4 Years = \$120,000 total

This hypothetical example is shown for illustrative purposes only and is not guaranteed.

Case Study 2: Robert — Divorced Parents, State School

- **The Situation:** Divorced parents; annual income of \$55,000. Robert had \$23,500 in his own name. Student is likely to get into the University of California, San Diego, but tuition was \$46,353. High student asset ownership was hurting aid eligibility; his SAI was only \$16,210.
- **The Strategy:**
 - » **SAI Nuance:** SAI determines the contributing parent in divorce cases as the one who provides the most financial support, regardless of residency.
 - » **Asset Repositioning:** Repositioned Robert’s assets during base reporting years to the non-contributing parent.
- **The Result:** A new SAI of \$4,176, qualifying Robert for a \$42,177 aid package.

This hypothetical example is shown for illustrative purposes only and is not guaranteed.

Case Study 3: Kevin — High-Income Earning Family

- **The Situation:** Kevin's household income was \$450,000, and their reportable assets were at \$1.1 million. Kevin’s target school is Baylor, with a tuition cost that year of \$78,452. Most families would assume they get nothing.
- **The Strategy:**
 - » **Income Adjustment:** Maximized income deferrals to lower their Adjusted Gross Income (AGI).
 - » **Asset Adjustment:** Moved \$1.1 million from reportable accounts into non-reportable vehicles like non-qualified annuities and cash-value life insurance.
- **The Result:** Final tuition of \$11,298, receiving \$67,000 in aid.

This hypothetical example is shown for illustrative purposes only and is not guaranteed.

Case Study 4: Alice's Long-Term Funding Strategy

- **The Situation:**

- » **The Family:** Alice's target school is Vassar College. Her family income is \$225,000 per year. They earn too much for federal Pell grants, but not enough to easily pay \$90,000 every year.
- » **The Assets:** 10 years before college, they have \$350,000 in a 529 account.
- » **The Problem:** If they continue saving in these reportable accounts, Alice's own savings may disqualify her from institutional aid.

- **The Strategy:**

- » **Asset Migration:** Over those 10 years prior to college, they started to move the \$350,000 into a structured cash value _____ policy.
- » **Tax-Deferred Growth:** The money and regular contributions grow with a floor, protected from market volatility, reaching \$750,000 over 10 years.
- » **Replaced Income:** Certain policies could allow them to take cash value loans to max their retirement contributions and cover their costs simultaneously.*

- **The Result:** Because life insurance and loans are non-reportable assets on the FAFSA and most CSS Profile formulas, the family's expected contribution is greatly reduced via gift and need aid. This helps Alice attend Vassar if admitted.

Category	Initial	Strategized
Counted Assets	\$750,000	\$0
Exempted Assets	\$0	\$750,000
Student Aid Index (SAI)	\$77,300	\$18,400
Total 4-Year Aid Secured	\$0	\$242,400
Reported Income (AGI)	\$225,000	\$175,000

This hypothetical example is shown for illustrative purposes only and is not guaranteed.

* Policy loans and withdrawals reduce cash surrender value and death benefits, may require additional premiums to prevent policy lapse, and may carry tax implications.

Conclusion and Next Steps | Important Takeaways

Reflect On What You've Learned:

- You learned the importance of fit in the college admissions and aid process.
- You know the key forms, how they work, and timelines for qualifying for aid.
- You learned about tools and scenarios that show it's possible to fund college, maximize aid eligibility, and plan for retirement.
- But do you know how to apply these principles to your unique student and individual financial situation?

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If you have any questions regarding college planning and your individual financial situation, please contact your AFES instructor.

Advisor Name
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Disclosures

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Answer Key

Page 4.	41%, 50
Page 5.	275
Page 8.	cost
Page 14.	life insurance
Page 15.	96,000

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